

UNION BUDGET, FISCAL POLICY AND DEFICIT INDICATORS

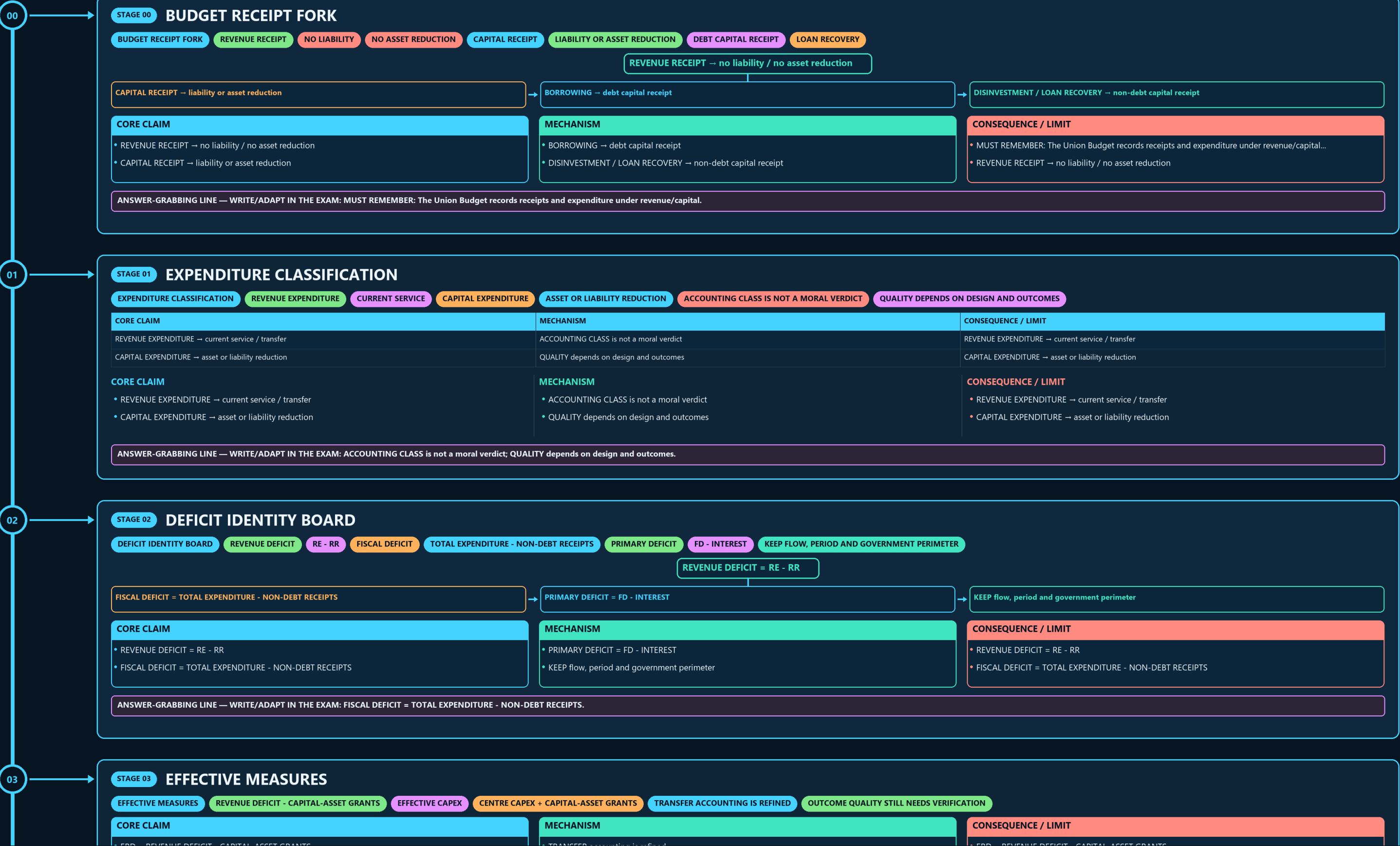
BUDGET RECEIPT FORK → EXPENDITURE CLASSIFICATION → DEFICIT IDENTITY BOARD → EFFECTIVE MEASURES → ESTIMATE-VINTAGE RAIL → CONSTITUTIONAL DOCUMENT STACK

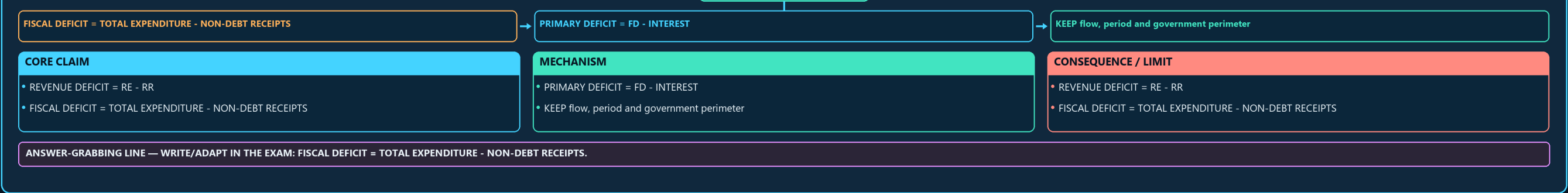
Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

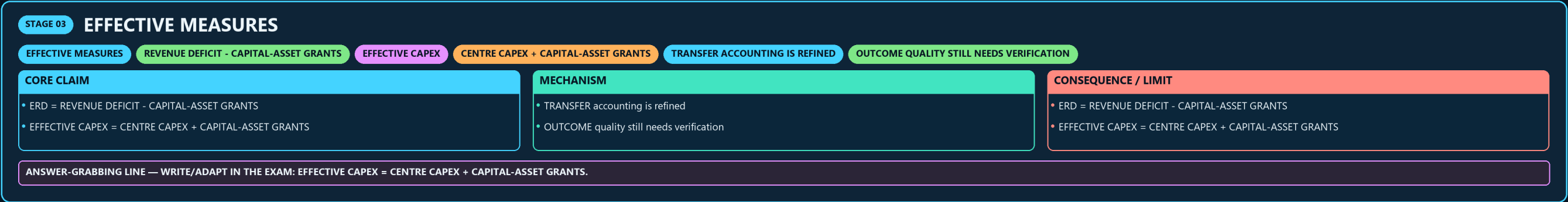
Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles





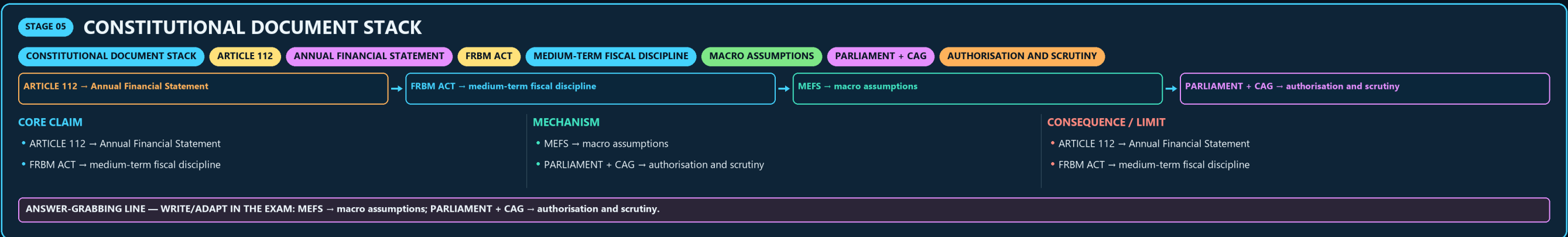
03



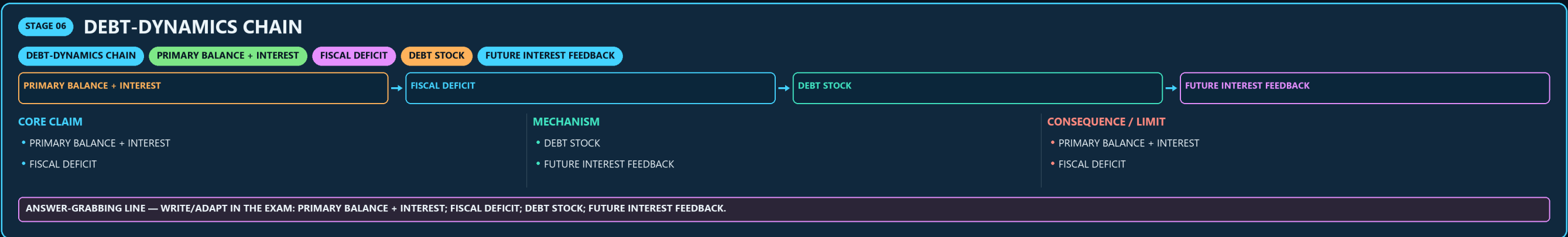
04



05



06



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MEFS → macro assumptions; PARLIAMENT + CAG → authorisation and scrutiny.

06

STAGE 06

DEBT-DYNAMICS CHAIN

DEBT-DYNAMICS CHAIN

PRIMARY BALANCE + INTEREST

FISCAL DEFICIT

DEBT STOCK

FUTURE INTEREST FEEDBACK

PRIMARY BALANCE + INTEREST

FISCAL DEFICIT

DEBT STOCK

FUTURE INTEREST FEEDBACK

CORE CLAIM

- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

MECHANISM

- DEBT STOCK
- FUTURE INTEREST FEEDBACK

CONSEQUENCE / LIMIT

- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRIMARY BALANCE + INTEREST; FISCAL DEFICIT; DEBT STOCK; FUTURE INTEREST FEEDBACK.

07

STAGE 07

CROWDING FORK

CROWDING FORK

BORROWING DURING TIGHT FINANCE

SAVINGS PRESSURE

CROWDING OUT

CAPEX REMOVES BOTTLENECKS

CROWDING IN

rates / savings pressure → crowding out

CAPEX REMOVES BOTTLENECKS

productivity / demand → crowding in

CORE CLAIM

- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

MECHANISM

- CAPEX REMOVES BOTTLENECKS
- productivity / demand → crowding in

CONSEQUENCE / LIMIT

- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CAPEX REMOVES BOTTLENECKS; productivity / demand → crowding in.

08

STAGE 08

HIDDEN-RISK PERIMETER

HIDDEN-RISK PERIMETER

HEADLINE DEFICIT

EXTRA-BUDGETARY BORROWING

DELAYED PAYMENTS

WIDER FISCAL RISK

EXTRA-BUDGETARY BORROWING

HEADLINE DEFICIT

DELAYED PAYMENTS → wider fiscal risk

CORE CLAIM

- HEADLINE DEFICIT
- EXTRA-BUDGETARY BORROWING

MECHANISM

- DELAYED PAYMENTS → wider fiscal risk
- HEADLINE DEFICIT

CONSEQUENCE / LIMIT

- EXTRA-BUDGETARY BORROWING
- DELAYED PAYMENTS → wider fiscal risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXTRA-BUDGETARY BORROWING; DELAYED PAYMENTS → wider fiscal risk.

09

STAGE 09

STATE FISCAL QUALITY

STATE FISCAL QUALITY

OWN-REVENUE MOBILISATION

EXPENDITURE QUALITY

FISCAL PRUDENCE

DEBT SUSTAINABILITY

CLOSE DISTINCTION

ALLOCATION IS NOT RELEASE OR EXPENDITURE, CAPITAL RECEIPT IS

OWN-REVENUE MOBILISATION

EXPENDITURE QUALITY

FISCAL PRUDENCE

DEBT SUSTAINABILITY

CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not

CORE CLAIM

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

MECHANISM

- FISCAL PRUDENCE
- DEBT SUSTAINABILITY

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not...
- OWN-REVENUE MOBILISATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not.

UNION BUDGET, FISCAL POLICY AND DEFICIT INDICATORS • TILE 3/4 • same master rows 4749-7983 of 10358 • continues below

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXTRA-BUDGETARY BORROWING; DELAYED PAYMENTS → wider fiscal risk.

09

STAGE 09 STATE FISCAL QUALITY

STATE FISCAL QUALITY OWN-REVENUE MOBILISATION EXPENDITURE QUALITY FISCAL PRUDENCE DEBT SUSTAINABILITY CLOSE DISTINCTION ALLOCATION IS NOT RELEASE OR EXPENDITURE, CAPITAL RECEIPT IS

OWN-REVENUE MOBILISATION

EXPENDITURE QUALITY

FISCAL PRUDENCE

DEBT SUSTAINABILITY

CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not

CORE CLAIM

- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

MECHANISM

- FISCAL PRUDENCE
- DEBT SUSTAINABILITY

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not...
- OWN-REVENUE MOBILISATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not.

10

STAGE 10 BUDGET 2026-27 STATUS CARD

BUDGET 2026-27 STATUS CARD 2026-27 BE FISCAL DEFICIT 4.3% GDP CAPEX RS 12.22 LAKH CRORE 2025-26 RE FISCAL DEFICIT 4.4% GDP RE, NOT ACTUALS EVIDENCE LIMIT

2026-27 BE → fiscal deficit 4.3% GDP

2026-27 BE → capex Rs 12.22 lakh crore

2025-26 RE → fiscal deficit 4.4% GDP

STATUS → BE / RE, not Actuals

CORE CLAIM

- 2026-27 BE → fiscal deficit 4.3% GDP
- 2026-27 BE → capex Rs 12.22 lakh crore

MECHANISM

- 2025-26 RE → fiscal deficit 4.4% GDP
- STATUS → BE / RE, not Actuals

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE,...
- 2026-27 BE → fiscal deficit 4.3% GDP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE,.

11

STAGE 11 FISCAL-POLICY ANSWER SPINE

FISCAL-POLICY ANSWER SPINE DEFINE IDENTITIES AND COVERAGE CHECK BE ACTUAL VINTAGE ASSESS COMPOSITION AND MULTIPLIER CONCLUDE ON DEBT PATH AND TRANSPARENCY

DEFINE identities and coverage

CHECK BE / RE / Actual vintage

ASSESS composition and multiplier

CONCLUDE on debt path and transparency

CORE CLAIM

- DEFINE identities and coverage
- CHECK BE / RE / Actual vintage

MECHANISM

- ASSESS composition and multiplier
- CONCLUDE on debt path and transparency

CONSEQUENCE / LIMIT

- DEFINE identities and coverage
- CHECK BE / RE / Actual vintage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ASSESS composition and multiplier; CONCLUDE on debt path and transparency.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT FISCAL IMPULSE DEPENDS ON CHANGES IN THE CYCLICALLY RELEVANT DEBT SUSTAINABILITY DEPENDS ON THE INTEREST-GROWTH DIFFERENTIAL, PRIMARY BALANCE PUBLIC CAPEX CAN CROWD IN PRIVATE INVESTMENT WHEN IT OFF-BUDGET BORROWING AND GUARANTEES CAN OBSCURE THE FULL PUBLIC-SECTOR AUTOMATIC STABILISERS WORK WITHOUT FRESH DECISIONS, WHILE DISCRETIONARY POLICY FISCAL RULES NEED CREDIBLE ESCAPE CLAUSES, TRANSPARENT ACCOUNTING AND MINISTRY OF FINANCE

OPTIONAL SOURCE DEPTH

- CAUTION: Fiscal impulse depends on changes in the cyclically relevant stance, not only the
- CAUTION: Debt sustainability depends on the interest-growth differential, primary balance,
- CAUTION: Public capex can crowd in private investment when it removes infrastructure bottlenecks
- CAUTION: Off-budget borrowing and guarantees can obscure the full public-sector risk position.

ADVANCED DEBATE

- CAUTION: Automatic stabilisers work without fresh decisions, while discretionary policy is
- CAUTION: Fiscal rules need credible escape clauses, transparent accounting and a medium-term
- Ministry of Finance: prepares the Union Budget, borrowing programme and fiscal
- Parliament: authorises taxation and expenditure through constitutional budget

LEGACY / NUANCE

- CAG and parliamentary financial committees: audit and scrutinise public spending and
- FRBM framework and fiscal councils or analytical bodies: provide medium-term
- CAUTION: Borrowing to complete a productive transport network can expand future capacity;
- CAUTION: A grant to a state used to create a capital asset enters effective capital expenditure

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.